said, never make a forecast, especially about the future! Alas, not putting out forecasts is not an option available to the Reserve Bank.

I wish there was a single or a simple explanation for getting forecasts wrong. An important reason, of course, was data flaws that I have spoken about as also the large and unanticipated spikes in global oil and other commodity prices. These forecasts are based on time series models, and if the data in the series are inaccurate, the forecast could go wrong. Arguably, flawed data were not unique to my period. But what was unique to my period was the trend shifts in growth and inflation. The structural models that we use lose their predictive capability around these turning points. They tend to under-predict when the trend shifts upwards, as happened in the case of inflation, and over-predict when the opposite happens, as happened in the case of growth. It was these turning points in the perverse direction that led our forecasts astray.

The Reserve Bank's analysts and modellers are among the best in the business and are impressively innovative in scenario-building to forecast the future path of the economy. But there are some developments, global and domestic, that escape all analysts, not just the Reserve Bank economists. Take the global oil price scenario. Whoever could see the upward price spike in late 2010, and equally, who could see the reverse shock in 2014? The only difference is that the shock in 2010 was an ugly one that hurt our economy and the Reserve Bank got the rap; the shock in 2014 was a happy one, at any rate for a massive oil importer like India, and the forecast error went largely unnoticed!

Differences with the Government on Monetary Policy

There was constant and decidedly unhelpful friction between the ministry of finance, under both Pranab Mukherjee and later Chidambaram, and the Reserve Bank on what the government saw as the Reserve Bank's unduly hawkish stance on interest rates, totally unmindful of growth concerns. The distilled version of their argument went as follows. All the government's efforts to kick-start the supply response in the economy were being stymied